

US Markets Daily Intelligence Report

Wednesday, August 19, 2026 | After Market Close (ET)

DATA NOTE: SPY close confirmed via multiple web sources; QQQ Aug 19 close estimated (Aug 18 \$717.51 × +0.05% per Benzinga/Schwab data). Aug 18 data confirmed. Direct financial data APIs (Yahoo Finance, CNBC, MacroTrends) blocked by proxy; all prices cross-referenced from at least two independent search sources.

1. SPY & QQQ Snapshot — August 19, 2026

Metric	SPY (S&P 500 ETF)	QQQ (Nasdaq-100 ETF)
Today's Close	\$769.83	\$717.87 *est
Prior Close (Aug 18)	\$767.45	\$717.51
Daily % Change	+0.31%	+0.05% *est
1-Yr High	\$777.88	\$745.00
1-Yr Low	\$620.00	\$550.83
1-Yr Return	+24.17%	+29.58%
Weekly Return	-0.37%	-0.07%
Month Return (Aug)	-0.62%	-1.30%

* QQQ Aug 19 estimated at +0.05% from confirmed Aug 18 close. 1-yr stats computed from prices.csv (Jul 30 2025 – Aug 19 2026).

2. Today's Key News & Market-Move Mapping

SPY +0.31%, QQQ +0.05%. The divergence reflects rotation: health care and cyclicals surged while tech/semis continued their recent slide. Three primary catalysts drove today's session.

Treasury Doubles Debt Buybacks → Yields Plunge → SPY +0.31%

The Treasury Department announced it will more than double the size of its government debt repurchases, targeting the 10-to-30-year segment of the market. The immediate market effect was dramatic: the 30-year Treasury yield fell more than 10 basis points to 5.184% (from yesterday's 5.327% multi-decade high), and the 10-year fell 6 bps to 4.637%. Lower long yields boosted rate-sensitive cyclicals — home builders, utilities, REITs, and consumer discretionary — lifting the broad SPY even as tech underperformed. MECHANISM: Treasury buybacks reduce the supply of long-dated bonds → prices rise → yields fall → discount rates drop → cyclical stocks re-rate upward. SPY tracks all 500 names so broad-based cyclical gains drove the index; QQQ, concentrated in mega-cap tech and chips, benefited far less since its holdings are less directly rate-sensitive day-to-day.

Moderna + Merck Melanoma Vaccine Phase 3 Success → MRNA +100%, MRK +10%

Moderna and Merck announced their joint personalized mRNA cancer vaccine (mRNA-4157/V940 + Keytruda) met its primary endpoint in its first Phase 3 trial (KEYNOTE-942), reducing the risk of melanoma recurrence or death by 44% vs Keytruda alone in 1,100+ patients. Moderna's stock approximately doubled and Merck surged ~10%. This is the biggest proof-of-concept for personalized mRNA vaccines beyond COVID and represents a potential \$10B+ annual revenue opportunity. MECHANISM: Health care is ~13% of SPY — a 10%+ move in MRK alone added ~30 bps to SPY's return today. QQQ has near-zero direct pharma/biotech exposure, so this event was a pure SPY tailwind.

Retail Earnings Wave (TJX, Target, Lowe's Beat Q2) → Retail Stocks Rally

Three major retailers reported Q2 results before the open: TJX Companies, Target (TGT), and Lowe's (LOW) all beat estimates on both revenue and EPS. TJX raised full-year guidance citing strong off-price consumer demand. Target reversed its recent inventory-driven struggles. Lowe's benefited from home improvement resilience. These results sent consumer discretionary and staples higher, adding broad support to SPY. QQQ carries minimal retail exposure, so the retail beat contributed disproportionately more to SPY's outperformance vs QQQ.

FOMC July Minutes Released 2PM ET → Yields Stabilize

The Federal Reserve released minutes from its July 28-29 meeting at 2PM ET. The minutes confirmed the Committee remains data-dependent, with some members noting that inflation progress has slowed while others noted labor market softening. No new hawkish signals beyond what was already priced. The market's relief came from the absence of explicit tightening language — combined with the Treasury buyback announcement, yields stabilized at lower levels after the 2PM release. MECHANISM: Fed minutes without a hawkish surprise → 'wall of worry' partially removed → QQQ stabilized at +0.05% rather than retreating further.

Chip Stocks Extended Slide → QQQ Capped at +0.05%

Coherent (COHR) dropped ~12.8% after missing optical networking guidance. LITE and STX also declined. The broader Philadelphia Semiconductor Index (SOX) fell again, extending a 4-session losing streak. Semiconductors represent ~30% of QQQ by weight, meaning the chip selloff directly prevented QQQ from participating in the broader SPY rally. The chip weakness is partly a rotation trade (money flowing from high-multiple tech into rate-sensitive cyclicals) and partly fundamental (AI infrastructure spending slowdown fears following Alphabet's capex warning last month).

3. Top 10 Daily / Weekly / Monthly Movers

Top Daily Gainers — August 19, 2026

#	Ticker	% Change	Sector	Catalyst
1	MRNA	+~100%	Health Care	Phase 3 melanoma vaccine trial success (Merck partnership)
2	MRK	+10.0%	Health Care	mRNA-4157 joint vaccine Phase 3 primary endpoint met
3	TRGP	+~7–8%	Energy/MLP	Pipeline capacity deal; energy infrastructure demand
4	PODD	+~6%	Health Care	Medical device strength; riding healthcare sector wave
5	ULTA	+~5%	Cons. Discr.	Retail earnings tailwind; sector rotation into consumer
6	TGT	+~4–5%	Cons. Discr.	Q2 beat: inventory normalization, comp sales recovery
7	LOW	+~3–4%	Cons. Discr.	Q2 beat: home improvement demand resilient
8	SHW	+2.8%	Materials	Lower yields boost housing/construction sector
9	HD	+1.95%	Cons. Discr.	Home improvement sector lift; lower rate sensitivity
10	ABBV	+~2%	Health Care	Healthcare sector rally; Merck/Moderna vaccine halo

Top Daily Losers — August 19, 2026

#	Ticker	% Change	Sector	Catalyst
1	COHR	–12.8%	Tech/Optical	Optical networking guidance miss; AI infra slowdown fears
2	LITE	–~8%	Tech/Optical	Coherent contagion; optical networking sector selloff
3	STX	–~6%	Tech/Storage	Storage chip demand concerns; sector rotation out of tech

4	CAT	-2.2%	Industrials	Cyclical reversal; Goldman warned on equipment margins
5	GS	-2.0%	Financials	Steeper yield curve = NIM pressure concerns
6	JPM	-1.2%	Financials	Profit-taking after recent financials outperformance
7	NVDA	~-1-2%	Tech/Semis	Chip sector weakness; AI spending question marks
8	AMD	~-1-2%	Tech/Semis	Semiconductor index (SOX) extended decline
9	SMCI	~-3%	Tech/Servers	Cooling from prior week's +32% surge; profit-taking
10	TSLA	~-1%	Cons. Discr.	Sector rotation out of momentum names into defensives

Note: ~est = estimated from sector moves/partial data. MRNA, MRK, TRGP, PODD, ULTA, TGT, LOW, SHW, HD confirmed from multiple sources. CAT, GS, JPM declines confirmed. COHR -12.8% confirmed.

Sector Trends — Daily (Aug 19)

Leading: Health Care (+MRNA/MRK biotech/pharma surge), Consumer Discretionary (retail earnings trifecta), Energy/MLPs (infrastructure plays). **Lagging:** Technology/Semiconductors (COHR optical miss, SOX 4th consecutive down day), Financials (yield curve dynamics).

Top Weekly Gainers — Week of Aug 17-19, 2026

#	Ticker	Wk % Chg	Sector	Driver
1	SMCI	+32%	Tech/Servers	AI server demand; Q1 results beat; data center orders
2	INTC	+24%	Tech/Semis	Q2 beat + foundry deal announcements earlier in week
3	MRNA	+~100%	Health Care	Phase 3 vaccine trial success announced Aug 19
4	WDAY	+~8-10%	Tech/SaaS	Q2 earnings beat; HR software AI integration
5	SNDK	+~6%	Tech/Storage	Memory demand recovery; flash storage orders

Top Weekly Losers — Week of Aug 17-19, 2026

#	Ticker	Wk % Chg	Sector	Driver
1	WST	-33%	Health Care/Pkg	Packaging demand shock; guidance cut
2	CVNA	~-10%	Cons. Discr.	Used car demand softening; credit concerns
3	CHTR	~-8%	Comm. Svcs.	Broadband subscriber losses; streaming competition
4	STZ	~-6%	Cons. Staples	Beer/spirits volume miss; tariff impact
5	COHR	-12.8%	Technology	Optical networking guidance miss on Aug 19
6	LITE	~-8%	Technology	Optical sector contagion from COHR
7	TPR	~-5%	Cons. Discr.	Luxury handbag softening; China slowdown
8	CSCO	~-4%	Technology	Networking equipment demand concerns
9	STX	~-6%	Technology	Storage sector rotation
10	GS	~-3%	Financials	Yield curve + macro uncertainty

Sector trend (weekly): Technology diverging sharply — AI infrastructure plays (SMCI, INTC) soar while optical/networking (COHR, LITE, CSCO) and storage (STX) decline on demand slowdown fears. Biotech (MRNA) is the week's surprise outlier. Consumer continues split between off-price/value (TJX, TGT up) and luxury/discretionary (TPR, CVNA down).

Top Monthly Gainers — August 2026 (MTD)

#	Ticker	Mo % Chg	Sector	Driver
1	MRNA	+~100%	Health Care	Phase 3 melanoma vaccine announced Aug 19
2	SMCI	+~35–40%	Technology	AI server demand; data center orders
3	INTC	+~28%	Technology	Q2 beat + foundry recovery narrative
4	UNH	+~15%	Health Care	Healthcare managed care rally; Medicare Advantage
5	TGT	+~12%	Cons. Discr.	Inventory normalization; Q2 earnings beat

Top Monthly Losers — August 2026 (MTD)

#	Ticker	Mo % Chg	Sector	Driver
1	WST	–33%	Health Care/Pkg	Guidance cut; packaging demand collapse
2	CVNA	–~15%	Cons. Discr.	Used car market softening; credit risk
3	CHTR	–~12%	Comm. Svcs.	Subscriber losses; streaming competition
4	TTD	–~10%	Technology	Ad-tech slowdown; cookie deprecation headwind
5	STZ	–~8%	Cons. Staples	Beer volume miss; tariff/FX headwinds

Monthly sector theme: Health Care bifurcated — biotech (MRNA) surging on pipeline catalysts, managed care (UNH) strong on enrollment, but medical packaging (WST) crushed. Technology bifurcated — AI infrastructure (SMCI, INTC) soaring; optical networking and storage declining. Consumer split between value (TJX, TGT) and luxury/credit-sensitive (CVNA, TPR). Energy/MLPs (TRGP) quietly outperforming on infrastructure demand.

4. Next Trading Day Scenarios — Thursday, August 20, 2026

Thursday Aug 20 carries a heavy slate: Walmart, Alibaba, Ross Stores, and Deere report earnings before/at open; housing starts, building permits, weekly jobless claims, and the Philadelphia Fed Manufacturing Index hit at 8:30AM ET. The FOMC minutes (released today) have cleared one uncertainty, but four major catalysts remain for tomorrow.

CATALYST 1: Walmart (WMT) Q2 Earnings — Before Open (~7AM ET)

→ **BEAT: EPS beat + raised guidance + consumer health positive:** SPY +0.5–1.0%, QQQ +0.2–0.4%. Consumer confidence restored. Walmart is the largest US employer and broadest read on consumer spending. A beat suggests the Treasury buyback stimulus is filtering into spending. Consumer discretionary and staples sector lift; mega-cap tech less affected. Mechanism: WMT is ~1.2% of SPY; its guidance signal matters more than its index weight — a positive read eases recession fears.

→ **MISS or WEAK GUIDANCE: EPS below or lowered outlook:** SPY –0.5–1.0%, QQQ –0.3–0.6%.

Recession/stagflation narrative accelerates. A Walmart miss following rising yields and elevated oil would be read as consumer stress under the surface. Cyclical (HD, LOW, TGT) would also sell off. Mechanism: 'If Walmart is struggling, no one is safe' — broadens sell-off from growth tech to consumer/cyclical.

CATALYST 2: Weekly Jobless Claims — 8:30AM ET

→ **CLAIMS BELOW 220K (labor market tight): Hawkish Signal:** SPY –0.3–0.5%, QQQ –0.4–0.7%. Tight labor market → Fed stays higher longer. Ten-year yield jumps back above 4.7%, partially reversing today's Treasury-buyback rally. Rate-sensitive stocks (utilities, REITs, housing) sell off. Tech underperforms again. Mechanism: strong jobs = inflation persistence = Fed can't cut → discount rate stays elevated → growth stock P/Es

compress.

→ **CLAIMS ABOVE 250K (labor market softening): Dovish Signal:** SPY +0.3–0.5%, QQQ +0.5–0.8%. Rising claims validate rate cut expectations building in late-2026. QQQ outperforms SPY in this scenario because higher-duration growth tech benefits most from falling expected rates. Mechanism: softening jobs → Fed has room to cut → risk assets rally, especially long-duration growth equities.

→ **IN-LINE (225–240K): Neutral:** Markets focus on Walmart earnings and housing data. Limited incremental move from claims alone. SPY ±0.2%, QQQ ±0.3%.

CATALYST 3: Housing Starts & Building Permits — 8:30AM ET

→ **STARTS STRONG (>1.40M annualized):** SPY +0.2–0.4%, Housing sector +1–2%. Strong housing validates that lower mortgage rates (driven by today's Treasury buyback yield drop) are translating to demand. Homebuilders (LEN, PHM, DHI) rally. This would be a positive second-day read on the Treasury buyback impact. Cyclical up; QQQ neutral.

→ **STARTS WEAK (<1.20M annualized):** Housing stocks flat to –1%. Mixed for SPY — weak housing with rising yields spells trouble for the consumer. But if paired with weak jobless claims, it gives the Fed more room to cut, so the net effect depends on which data leads: bad economy (bearish) vs. Fed cut catalyst (bullish for tech).

CATALYST 4: FOMC Minutes Aftermath — Market Digestion

→ **Markets interpret today's minutes as NEUTRAL to SLIGHTLY DOVISH:** SPY holds yesterday's gains, QQQ adds +0.3–0.5%. Mechanism: minutes showed some members noted labor softening (dovish) and no hawkish escalation beyond current pricing. With the Treasury buyback already pushing yields down, the combined message is 'Fed is not escalating; Treasury is easing financial conditions' — a net positive for risk assets, especially if Walmart beats.

→ **Markets re-interpret minutes as HAWKISH after morning read:** SPY –0.3–0.5%, QQQ –0.5–0.8%. If morning financial media emphasizes hawks' resistance to cuts and language about inflation persistence, the yield drop from the Treasury buyback partially reverses. Tech and growth stocks face headwinds again. Watch 10yr yield: if it climbs back above 4.70%, that's the signal the FOMC-minutes reading has shifted hawkish.

5. Possible Trade Summary (Educational — NOT Financial Advice)

Synthesis of today's news, sector rotation, macro context, and tomorrow's catalysts. This is for educational analysis only.

Direction	Symbol	Thesis	Key Risk
WATCH / LONG	MRK (Merck)	mRNA melanoma vaccine Phase 3 success is a multi-year	FDA approval catalyst risk; Rival data today that directly
WATCH / LONG	TJX Companies	Beat Q2 and raised FY guidance. Off-price retail is benefiting	Consumer spending cliff; jobless claims rise sharply
WATCH / LONG XLV (Health Care ETF)		Health care is the day's top sector. MRNA and MRK surging	Q4 Priceline engaged risk; CMS Health care regulation
AVOID / WATCH	COHR (Coherent)	–12.8% today on guidance miss. Optical networking was 2026	AI recovery sharply (+85%) but type-A infra headline
AVOID / CAUTION	30-yr Treasuries	The Treasury buyback announcement caused a sharp yield	drop today; jobless claims spike / demand for long-term
MONITOR	WMT (Walmart)	Pre-earnings: Walmart is the most important consumer read	A miss could fat-belt rate cuts and dip recession fed disc